Who Gets an ESG Score? Coverage Selection and Firm Value in Five Southeast Asian Markets

Abstract

Most listed firms in Southeast Asia have no environmental, social, and governance (ESG) score, so investors who screen on scores cannot hold them. We ask which firms enter the London Stock Exchange Group (LSEG) ESG database and what happens to their valuation around entry. We follow 675 non-financial firms in Indonesia, Malaysia, the Philippines, Singapore, and Thailand that received a first recorded score and compare them with 2,613 never-scored firms. Entry is selective. Scored firms are larger, and on average their market-to-book ratio had grown 10.0% faster than that of similar firms before the first recorded score, a run-up not detected in a broad Malaysian wave. After entry, the valuation gap stops widening, but whether coverage itself changed valuations depends on when investors first saw the score and on untestable trend assumptions. Research and investment screens that compare rated with unrated firms should model who gets rated and when.

Keywords: ESG ratings, Firm valuation, Rating coverage, Selection, Southeast Asia, Sustainable finance

JEL Classification: G14, G15, G32, M14, Q56

1. Introduction

Environmental, social, and governance (ESG) scores work as an entry ticket. A fund, index, or mandate that may hold only scored stocks cannot buy a firm that no provider covers, so the set of scored firms decides which firms ESG-screened capital can reach. In five Southeast Asian equity markets, most listed firms had no score from the London Stock Exchange Group (LSEG) at any point between 2014 and 2024, and much of the academic evidence on ESG ratings uses LSEG data (Berg, Kölbel, et al., 2022; Dobrick et al., 2023). This paper asks two questions: which firms enter the scored universe, and what happens to their market valuation around entry?

The economic intuition runs as follows. If a score makes a firm visible to more investors, its price should rise, because a wider investor base shares its risk (Merton, 1987); if the score also tells investors whether the firm is green or brown, prices should move in opposite directions for the two groups (Pástor et al., 2021; Pedersen et al., 2021). A provider, however, is likely to add a firm once it is large, liquid, and discloses enough to be scored, and its scores rise with firm size (Dobrick et al., 2023; Drempetic et al., 2020). If firms enter after a period of rising value, a comparison of scored and unscored firms credits the score with growth that came before it. The paper asks how far the data can separate the effect of being scored from the selection of who is scored.

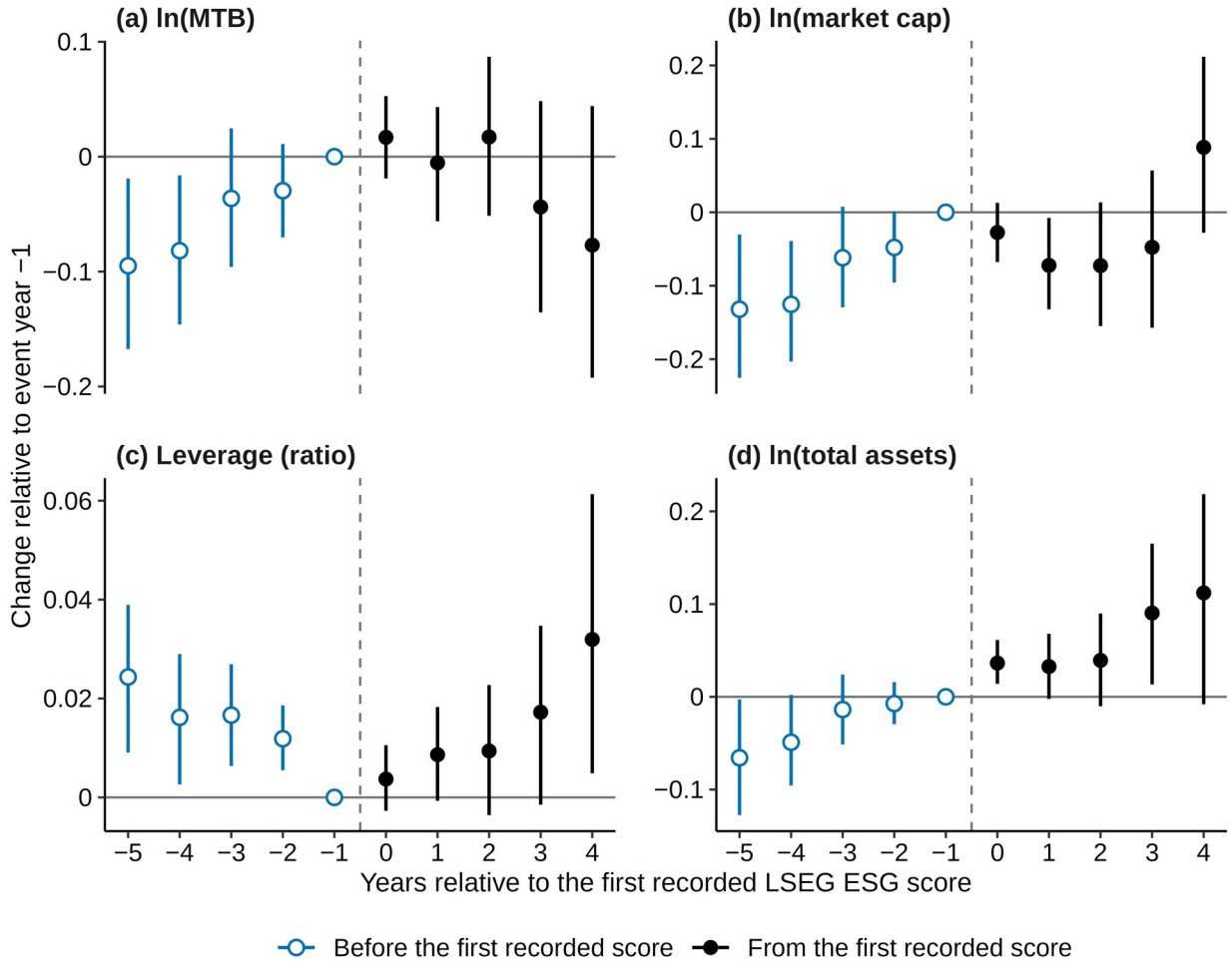
Studies, mostly of U.S. firms, link coverage by more raters to fewer ESG violations (Tsang et al., 2024), lower emissions and more ownership by high-ESG institutions (Bikmetova & Pirinsky, 2026), and dividend increases (Tsang et al., 2025). None examines valuation in emerging markets, where most firms are unscored and coverage has expanded in waves.

We study Indonesia, Malaysia, the Philippines, Singapore, and Thailand. Of the 675 non-financial firms whose first recorded LSEG score falls between 2015 and 2024, 577 had it in 2020 to 2023, and 289 were Malaysian firms first scored in 2021 or 2022. We compare these firms with 2,613 never-scored firms before and after each firm's first recorded score, the first fiscal year for which the database holds a score, using the estimator of Callaway and Sant'Anna (2021), which avoids the biases of two-way fixed effects regressions under staggered timing (Baker et al., 2022; Goodman-Bacon, 2021). The first recorded score is not necessarily the date on which investors could first see the score (Section 3.3). A pre-analysis plan, committed to version

control before the estimation code, records the hypotheses, sample rules, estimator, and robustness checks; we label every later analysis exploratory.

The evidence has three parts. First, entry is selective. Scored firms are larger, and they had outgrown never-scored firms of similar size, country, and industry before their first recorded score (Figure 1). From five years before the first recorded score to the base year (the year before it), their market capitalization grew 14.1% more (95% interval 3.1% to 25.3%) and their market-to-book (MTB) ratio 10.0% more (1.9% to 18.2%). The run-up is large in the 108 Thai and Singaporean firms first scored in 2019 and 2020 and not detected in the 289 Malaysian firms first scored in 2021 and 2022, the largest wave in the data (Figure 2).

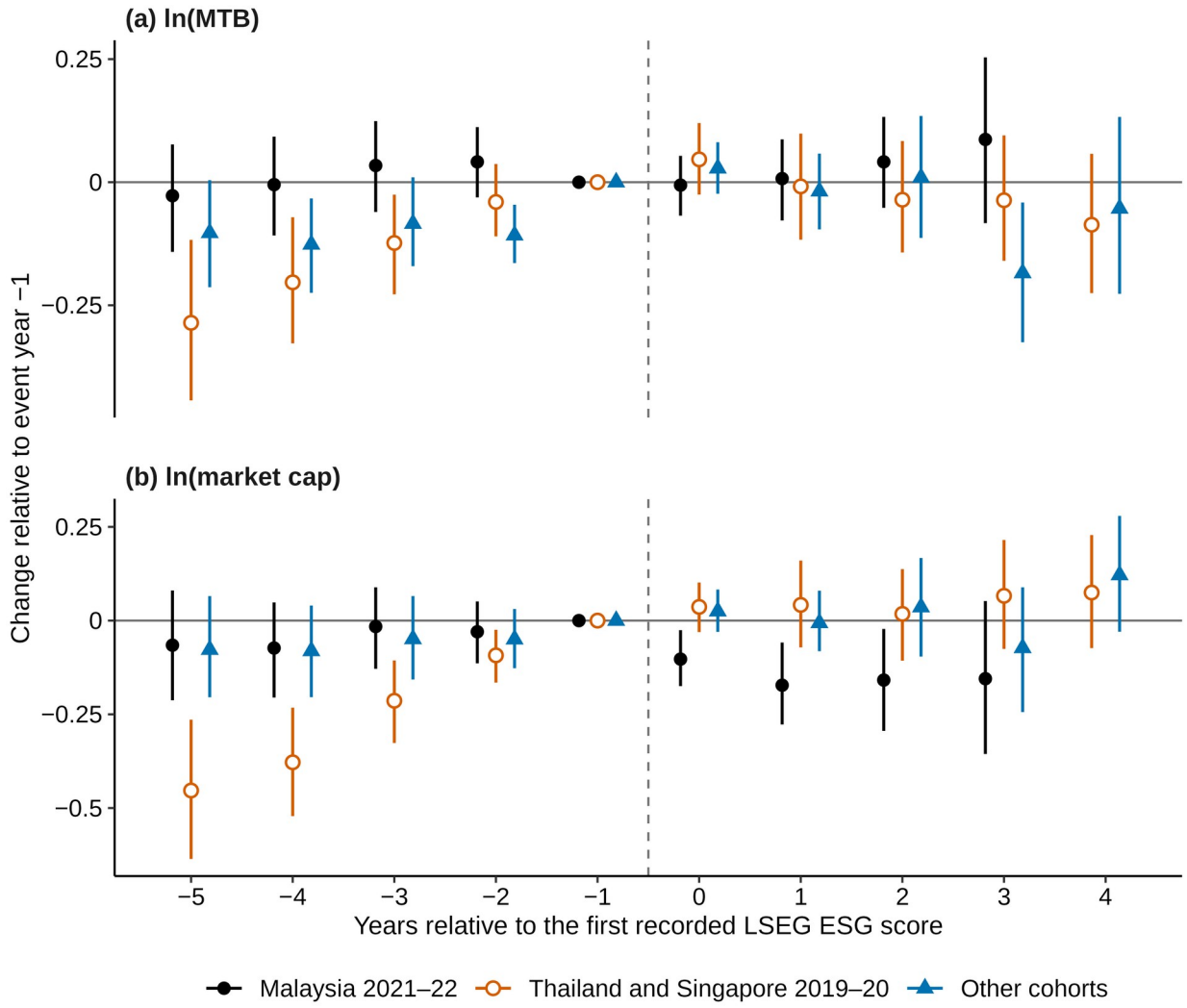
Figure 1. Event-time changes around the first recorded LSEG ESG score on market-to-book ratio, market capitalization, leverage, and total assets



Note: Estimates of Eq. (5) relative to event year −1, with firm-bootstrap 95% intervals; open markers are pre-coverage years. Event year 4 is excluded from Eq. (6).

Source: Authors' calculations from LSEG ESG scores and Compustat Global.

Figure 2. Event-time effects on market-to-book ratio and market capitalization by coverage wave



Note: Estimates of Eq. (5) by wave against all never-scored firms, with firm-bootstrap 95% intervals. Other cohorts are firms first scored outside the two waves.

Source: Authors' calculations from LSEG ESG scores and Compustat Global.

Second, after entry the MTB gap stops widening, but the data do not pin down a causal effect of coverage. Under parallel trends from the base year, the average change in log MTB over the first four years is 0.002 (95% interval −0.046 to 0.048). Dated one year later, when a score could first have been public, the change is −6.6%. Section 5.4 shows that most of this difference arises because the later dating measures valuations from the first recorded year, at the top of the run-up, and that the decline appears only in the waves that had a run-up. Third, a static two-way

fixed effects regression on the same data attributes a 6.6% MTB increase to coverage, an artifact of comparing firms after entry with the same firms before their growth.

The paper makes three contributions. First, it documents selection into ESG rating coverage in Southeast Asian markets and adds valuation to the rating-coverage literature (Bikmetova & Pirinsky, 2026; Tsang et al., 2024, 2025): one provider scored firms that had outgrown their peers, most clearly outside its largest wave. Second, it shows why the valuation effect of coverage is hard to identify: entry follows growth and the recorded first score may precede publication, so the estimates depend on dating and on trend assumptions. None of the main specifications detects a gain, but the bounds do not exclude one. Third, it warns that comparisons of scored and unscored firms, and regressions that pool all years around entry, can attribute selection to the score.

Section 2 sets out the channels through which a score could change value and the selection that can mimic them. Section 3 describes the markets, the data, and what the first recorded score does and does not date. Section 4 presents the estimator and its identifying assumption. Section 5 reports who gets scored, the valuation path around entry, and the checks that the timing and the sample raise. Section 6 discusses what the evidence can and cannot say about mechanisms and policy, Section 7 lists the limitations, and Section 8 concludes.

2. Related Literature and Hypotheses

2.1 ESG ratings as information and certification

ESG ratings can move prices when they change what investors know or which investors may hold a stock. MSCI downgrades are followed by lower ownership by U.S. funds with ESG mandates and a one-year abnormal return of approximately −2.37%, with weaker effects for upgrades (Berg, Heeb, et al., 2022), and calendar-time portfolios show a similar asymmetry (Shanaev & Ghimire, 2022). Hartzmark and Sussman (2019) show that publishing Morningstar sustainability ratings for mutual funds redirected fund flows.

Certification by inclusion in a sustainability index is the closest analog to a first score. Additions to the Dow Jones Sustainability Index have limited price effects relative to similar firms outside the index (Hawn et al., 2018). A replication finds no price effect but more analyst following after addition and more long-term ownership after continued membership (Durand et

al., 2019). In sell-side research, losing analyst coverage lowers prices (Kelly & Ljungqvist, 2012), and the first report on a neglected stock raises its price when the report is favorable (Demiroglu & Ryngaert, 2010).

2.2 ESG demand, recognition, and price pressure

Two channels predict a valuation response to a first score. Under investor recognition, a stock known to few investors trades at a discount because a small group bears its idiosyncratic risk (Merton, 1987). Recognition therefore predicts a gain for every newly scored firm. S&P 500 additions raise prices permanently, whereas deletions do not lower them permanently (Chen et al., 2004). Under ESG preferences, investors accept lower expected returns on assets they classify as sustainable (Pástor et al., 2021; Pedersen et al., 2021). Because a first score reveals where a firm stands, this channel predicts gains for firms revealed as green and losses for those revealed as brown, and a pooled average can be close to zero when the two signs offset. Both channels work through who trades the stock, and investor groups in the region respond differently to trading conditions: on the Stock Exchange of Thailand, local institutional investors adjust their trading to brokerage fees over the long run, whereas foreign and retail investors adjust in the short run (Sudsawasd & Sakdapat, 2026). A first score could therefore matter more for some investor groups than for others.

Demand shocks also shape realized prices before any rating event. Pástor et al. (2022) show that the high realized returns of green assets reflect unexpected increases in ESG concerns rather than high expected returns. S&P 500 inclusion raises prices (Harris & Gurel, 1986; Shleifer, 1986), and part of the increase reverses within weeks (Harris & Gurel, 1986). A run-up in value before coverage, followed by a flat path, is consistent with a demand shift that ended, with selection on growth, or with both.

2.3 Which firms providers score

We expect providers to cover firms in the indices their clients track and firms that disclose enough to be scored, although our data omit the provider's coverage rules. Mandatory sustainability reporting increases the information available on listed firms (Krueger et al., 2024). Who discloses also depends on who owns the firm: among Vietnamese listed consumer-goods firms, outside our sample, foreign ownership is associated with higher corporate social

responsibility scores, and state and family ownership with lower ones (Nguyen, 2025). The provider we study gives higher scores to larger firms, a bias documented for its ASSET4 scores (Drempetic et al., 2020) and its Refinitiv scores (Dobrick et al., 2023), and it has rewritten historical scores on a large scale (Berg et al., 2020). Providers disagree about the same firm (Berg, Kölbel, et al., 2022; Christensen et al., 2022), and the disagreement is priced (Avramov et al., 2022; Gibson Brandon et al., 2021). If providers select firms that have grown, a scored-unscored comparison mixes the effect of coverage with the growth that led to it.

2.4 Hypotheses

The pre-analysis plan states three hypotheses, all tested two-sided.

H_1 (primary): The initiation of LSEG ESG coverage changes the log MTB ratio of scored firms relative to comparable never-scored firms. The recognition channel predicts an increase. The preference channel predicts an increase for high-score firms and a decrease for low-score firms. The selection view predicts relative growth before coverage and, after it, no effect if the growth was permanent or a decline if it was transient.

H_2 (secondary): Coverage changes log market capitalization, book leverage, and log total assets.

H_3 (heterogeneity): The effect on log MTB differs between firms with initial scores above and below their cohort median. Only the preference channel depends on what the score says, so a difference would point toward it; the absence of a difference cannot rule it out (Section 5.9).

The two channels motivate these predictions, but our data cannot observe them. They contain no ownership, fund holdings, trading activity, or investor participation, so we cannot tell whether a missing valuation response reflects weak recognition, weak demand for ESG-rated firms, or something else. What the data can evaluate is narrower: whether entry follows relative growth, how the valuation gap evolves around entry, and whether that path differs with the initial score. We return to this distinction in Section 6.3.

3. Institutional Setting and Data

3.1 ESG disclosure and rating coverage in the five markets

The five markets introduced sustainability reporting rules for listed firms at different times. Bursa Malaysia required a sustainability statement in annual reports for financial years ending on or after December 31, 2016, phased in from the largest companies between 2016 and 2018 (Bursa Malaysia, 2015). Singapore requires listed issuers to publish a comply-or-explain sustainability report for financial years ending on or after December 31, 2017 (Singapore Exchange, 2016). Philippine listed companies have attached a comply-or-explain sustainability report since the 2019 annual reports (Securities and Exchange Commission Philippines, 2019). A 2017 Indonesian regulation applies to listed companies other than small- and medium-asset issuers from 2020 (Otoritas Jasa Keuangan, 2017), and Thai listed companies have reported sustainability information in the 56-1 One Report since the fiscal year ending in 2021 (Tilleke & Gibbins, 2020). We could not confirm the dates of earlier Thai guidance.

Several providers score firms in these markets. In Malaysia, FTSE Russell, another part of LSEG, scored only the constituents of the FTSE Bursa Malaysia EMAS index, about 30% of listed companies, until Bursa Malaysia and LSEG agreed in November 2022 to extend these scores to all Main and ACE Market companies (Bernama, 2022). The LSEG ESG score we study, formerly Refinitiv ESG, is a separate product, so our event is the initiation of LSEG ESG coverage, not a firm's first ESG rating of any kind. Throughout, a score is the LSEG ESG score, a rating is the broader class of assessments, including MSCI-type ratings, and coverage means that LSEG publishes a score for the firm.

Table S2 and Figure S1 of the supplementary material show that coverage arrived in waves: 108 first scores in Thailand and Singapore in 2019 and 2020, and 289 in Malaysia in 2021 and 2022. Of the 675 scored firms, 404 (59.9%) are Malaysian, and Malaysian and Thai firms together make up 84.3%. Because first recorded scores can precede publication (Section 3.3), we cannot link the Malaysian wave to the November 2022 agreement. The waves do not follow a single reporting rule: the Thai wave preceded the One Report requirement, and the Malaysian wave came years after Bursa Malaysia's rule. Section 5.10 reports the weight of each market and wave in the pooled estimates.

3.2 Sample

The data cover all 3,709 firms listed in the five markets from 2014 to 2024 (40,799 firm-years). They combine the annual LSEG ESG score (LSEG, 2025), not the controversy-adjusted combined score, with accounting and market data from Compustat Global (S&P Global Market Intelligence, 2025).

We call firms without an LSEG score unscored and firms that never receive one in our sample never-scored, and the latter form the comparison group. Dropping financial firms leaves 3,423 firms. A firm's first recorded score year, g, is its first fiscal year with an LSEG ESG score, and its base year is g − 1. Only 17 of the 675 scored firms have a later year without a score; therefore, we treat coverage as permanent, the staggered-adoption setting of Callaway and Sant'Anna (2021). Excluding the 135 firms scored in 2014, which have no pre-coverage year, leaves 3,288 firms and 36,168 firm-years: 675 firms first scored between 2015 and 2024 and 2,613 never-scored firms. A firm-year enters an estimate only if its outcome is observed in both the base year and the comparison year, so counts differ slightly across Tables S4 and S6 of the supplementary material. The source data contain no MTB ratio at or below zero, so firm-years with negative book equity appear as missing, like firm-years without market or accounting data, and we cannot separate the two cases. 28.0% of never-scored and 12.7% of scored firm-years lack a log MTB ratio; Section 5.7 examines whether these gaps change the comparison. Never-scored firms are smaller on average; Section 5.6 restricts scored firms to the size range of the controls.

3.3 What the first recorded score dates

The event in this paper is the first recorded score: the first fiscal year for which our extract of the LSEG database holds a score. It is not the date on which investors could first see the score. For our question the difference matters, because a score recorded today for an earlier fiscal year was not information available to investors in that year.

The first recorded score may precede the year in which investors first see a score for three reasons. First, the score for fiscal year g draws on reports published after that fiscal year ends, so it reaches investors only after the year closes, in year g + 1 for a December year-end. Second, the provider has rewritten historical scores on a large scale (Berg et al., 2020), and scores for the five most recent fiscal years can change after publication (Sahin et al., 2023). Third, if the provider

backfilled a firm's history at entry, the gap exceeds one year. Publication therefore follows the end of fiscal year g, so the first recorded score dates entry too early, never too late.

We could not recover the publication dates. Our extract contains each score by fiscal year, with no publication or update date, and the scores it holds are the ones in the database at download, after any revision. We found no public archive of the provider's coverage lists for these markets, and the provider's methodology documents describe how scores are updated, not when each firm entered. LSEG also distributes a point-in-time version of its ESG data that keeps values as they were published (LSEG, n.d.), but our extract does not contain it. We therefore keep two concepts apart. The first recorded score is what we observe; publicly observable coverage begins at an unknown date from g + 1 onward. We report the valuation path with coverage dated at g, at g + 1, and at g + 2, and we draw conclusions only where they hold across these datings.

Late dating cannot create the pre-coverage growth we report, because that growth occurs before g and therefore before any possible publication. It can, however, place pre-publication years in the post-coverage window of the baseline estimate, which is why Section 5.4 compares the datings directly.

3.4 Outcomes and recording errors

The primary outcome is the natural logarithm of the MTB ratio, the market value of equity divided by its book value. The secondary outcomes are log market capitalization, log total assets, and book leverage, total debt divided by total assets. Because the data contain neither stock returns nor shares outstanding, we use MTB for valuation and treat market capitalization, which mixes price and share changes, and total assets as measures of firm scale. Amounts are in U.S. dollars. We winsorize all four variables at the 1st and 99th percentiles of the pooled sample before taking logarithms.

A few market capitalization records are implausibly large; one Indonesian firm is recorded at 1,138.8 billion U.S. dollars. We identify such records with an internal-consistency rule. Market capitalization divided by the MTB ratio gives the implied book equity, which cannot exceed total assets. Of the 27,127 firm-years with all three items, 1,030 have ratios between one and two, which can arise when the items are measured on different dates, and 540 have ratios between two and ten. Our main rule flags firm-years in which the implied book

equity exceeds ten times total assets, an error of an order of magnitude: 209 firm-years (0.77%), 73 of them for scored firms. A stricter rule, a ratio above two, flags 749 firm-years. Winsorization limits their influence but does not correct them, so Section 5.7 re-estimates without them.

4. Methods

4.1 Target parameter and identification

In the notation of Callaway and Sant'Anna (2021), let G_i be the first recorded score year of firm i, with $G_i = \infty$ if it is never scored, and let $Y_{i,t}(g)$ be the potential outcome of firm i in year t if it were first scored in year g. The group-time average treatment effect on the treated (ATT), the average effect in year t for firms first scored in year g, is

$$ATT(g,t) = E\left[Y_{i,t}(g) - Y_{i,t}(\infty) / G_i = g\right] \quad (1)$$

We identify it under conditional parallel trends relative to the base year:

$$E\left[Y_{i,t}(\infty) - Y_{i,g-1}(\infty) / X_i, G_i = g\right] = E\left[Y_{i,t}(\infty) - Y_{i,g-1}(\infty) / X_i, G_i = \infty\right] \quad (2)$$

where X_i contains country and industry indicators and log total assets and its square, measured in the base year. Because assumption (2) concerns changes in outcomes, level differences between scored and never-scored firms (Table 1) do not violate it, but a different growth path before coverage would.

Table 1. Characteristics of scored firms in the base year and of never-scored firm-years

Variable	Scored mean	Scored median	Scored N	Never-scored mean	Never-scored median	Never-scored N	Norm. diff.
Market-to-book ratio	2.37	1.26	629	1.84	0.95	20,706	0.17
Market capitalization (USD million)	762.5	203.2	655	157.3	42.2	22,417	0.69
Book leverage	0.235	0.217	632	0.241	0.205	22,333	−0.04
Total assets (USD million)	882.1	294.3	655	238.0	68.7	24,814	0.61
Return on assets	0.064	0.057	385	0.045	0.046	5,614	0.21

Note: Scored firms in the base year g − 1; never-scored firms over 2014 to 2024. Norm. diff. is the mean difference over the root of the average variance.
Source: Authors' calculations from LSEG ESG scores and Compustat Global.

Assumption (2) asks that, after the base year, scored firms would have followed the valuation path of never-scored firms of the same size, market, and industry had they not been

scored. Section 5.2 shows that the pooled sample violates the analogous condition before the base year, so the pre-coverage estimates cannot be used to defend it. Two arguments make it plausible in parts of the sample, and one argues against it. First, in the large Malaysian wave the pre-coverage path is flat, so for these firms the assumption asks only that a flat relative path stays flat. Second, if the provider adds firms once they cross a size or visibility threshold, relative growth stops being a reason for selection once the threshold is crossed, and conditioning on base-year size compares firms on the same side of it. Against it, if part of the run-up was transitory, scored firms would have fallen back toward never-scored firms even without a score, and the estimates would understate any effect of coverage. We therefore treat the post-coverage estimates as conditional on assumption (2) and give most weight to evidence that does not depend on it: the ordering of growth and entry, and the contrast between waves with and without a run-up.

4.2 Estimation

For each cohort g and year t, we regress the long difference $\Delta Y_{i,t} = Y_{i,t} - Y_{i,g-1}$ on X_i among never-scored firms (Sant'Anna & Zhao, 2020):

$$\Delta Y_{i,t} = X_i' \beta_{g,t} + u_{i,t}, G_i = \infty \tag{3}$$

where $\beta_{g,t}$ is the coefficient vector of the cell and $u_{i,t}$ is the error. We omit the propensity-score model of the doubly robust estimator because total assets overlap poorly: 24.6% of scored firms have larger base-year total assets than the 95th percentile of never-scored firms. Outcome regression does not remove this support problem; it extrapolates the relation estimated among controls to scored firms larger than most controls. Section 5.6 therefore restricts scored firms to the size range of the controls, in the spirit of the overlap trimming of Crump et al. (2009), where the doubly robust estimator becomes usable (Sant'Anna & Zhao, 2020). The estimated group-time effect is

$$\widehat{ATT}(g,t) = \frac{1}{N_{g,t}} \sum_{i:G_i=g} \left(\Delta Y_{i,t} - X_i' \hat{\beta}_{g,t} \right) \tag{4}$$

where $N_{g,t}$ is the number of firms first scored in year g with data in years g − 1 and t, and $\hat{\beta}_{g,t}$ is estimated from Eq. (3). We average by event year, e = t − g, weighting cohorts by the number of scored firms (Callaway & Sant'Anna, 2021):

$$\hat{\theta}(e)=\sum_{g}\frac{N_{g,g+e}}{\sum_{h}N_{h,h+e}}\widehat{ATT}(g,g+e) \tag{5}$$

where h indexes the cohort. The headline estimate averages, with the same weights, all cells from the first recorded score year to three years later:

$$\hat{\theta}_{post}=\frac{\sum_{(g,t):0\le t-g\le 3}N_{g,t}\widehat{ATT}(g,t)}{\sum_{(g,t):0\le t-g\le 3}N_{g,t}} \tag{6}$$

Cohorts first scored after 2021 are not observed for all four post-coverage years, so cohort composition changes across event years; row R11 keeps only the cohorts observed through event year 3.

The design involves three choices. First, baseline controls are never-scored firms; later-scored firms join them only in check R1. Second, all comparisons, including pre-coverage ones, are relative to the base year: a negative $\hat{\theta}(e)$ for $e \le -2$ means that scored firms grew faster than never-scored firms with the same covariates from year g + e to the base year. Third, we measure the covariates in the base year, at the end of any run-up, so conditioning on base-year total assets matches scored firms to never-scored firms of similar size and can absorb part of the run-up; Section 5.6 varies this choice.

4.3 Inference

We bootstrap the aggregated effects by resampling firms with their full time series, a nonparametric alternative to the multiplier bootstrap of Callaway and Sant'Anna (2021). All specifications share the same 999 draws and fixed seed, so differences between specifications have a valid joint distribution. We report the bootstrap standard error, the percentile 95% confidence interval, and a normal-approximation two-sided p-value. The minimum detectable effect (MDE) at 80% power in a two-sided 5% test is

$$MDE=\left(z_{0.975}+z_{0.80}\right)\widehat{SE}\approx 2.8\,\widehat{SE} \tag{7}$$

where $z_{0.975}$ and $z_{0.80}$ are standard normal quantiles and the hatted SE is the bootstrap standard error. We test the primary outcome at the 5% level and Holm-adjust the p-values, but not the confidence intervals, of the three secondary outcomes; an interval that excludes zero can

therefore accompany an adjusted p-value above 5%, as for log total assets in Table 2. The joint test of parallel pre-coverage trends is

$$W = \hat{\theta}_{pre}' \hat{V}_{pre}^{-1} \hat{\theta}_{pre} \sim \chi_4^2 \tag{8}$$

Table 2. Average change after the first recorded LSEG ESG score over event years 0 to 3, under assumption (2)

Outcome	ATT	SE	95% CI	p-value	MDE	Pre-trend p	Scored firms	Control firms
ln(MTB)	0.002	0.024	[−0.046, 0.048]	0.936	0.067	0.074	628	2,412
ln(market cap)	−0.055	0.030	[−0.109, 0.003]	0.134	0.084	0.022	635	2,447
Leverage (ratio)	0.008	0.005	[−0.001, 0.018]	0.134	0.014	0.002	631	2,520
ln(assets)	0.044	0.018	[0.007, 0.081]	0.053	0.051	0.083	655	2,603

Note: Eq. (6), firm-bootstrap standard errors, unadjusted 95% CI; secondary p-values Holm-adjusted; firm counts cover all event-time cells. MDE is the 80%-power minimum detectable effect; pre-trend p tests Eq. (8).
Source: Authors' calculations from LSEG ESG scores and Compustat Global.

where $\hat{\theta}_{pre}$ stacks the estimates for e = −5 to −2 and $\hat{V}_{pre}$ is their bootstrap covariance matrix. Because pre-trend tests can have low power and conditioning on them can distort inference (Roth, 2022), we report W only as a diagnostic.

Coverage arrived in market-level waves, so a market or industry shock can affect many scored firms at once, as shifts in political uncertainty do for Thai stock prices (Prukumpai et al., 2022). The country indicators in Eq. (3) absorb market-wide changes within each cell; because five markets are too few clusters, an exploratory check resamples the 50 market-by-industry clusters instead of firms.

4.4 Sensitivity to departures from parallel trends

Because the pre-coverage estimates cast doubt on assumption (2), we add exploratory checks not in the pre-analysis plan. The first removes a linear pre-coverage trend that passes through zero in the base year:

$$\hat{b} = \frac{\sum_{e=-5}^{-1} (e+1)\hat{\theta}(e)}{\sum_{e=-5}^{-1} (e+1)^2}, \tilde{\theta}(e) = \hat{\theta}(e) - \hat{b}(e+1) \tag{9}$$

where $\hat{b}$ is the fitted slope and $\tilde{\theta}(e)$ is the trend-adjusted estimate, which we average over e = 0 to 3 with the weights of Eq. (6). The second bounds the bias in the spirit of the relative-

magnitude restriction of Rambachan and Roth (2023). Let δ(e) denote the post-coverage violation of assumption (2) in event year e. We assume that δ(e) changes from year to year by at most $\bar{M}$ times Δ, the largest change between consecutive pre-coverage estimates:

$$\left|\delta(e)-\delta(e-1)\right| \le \acute{M}\, \max_{s\le -1}\left|\hat{\theta}(s)-\hat{\theta}(s-1)\right| \equiv \acute{M}\,\Delta, \delta(-1)=0 \tag{10}$$

where s indexes the pre-coverage event years. The bias for event year e is at most $\bar{M}$Δ(e + 1), and we widen the headline confidence interval by the weighted average of this bound. With $\bar{M}$ = 0.25, the post-coverage gap may drift each year by a quarter of the largest yearly change before coverage. We also add to X_i the growth of log market capitalization from year g − 3 to the base year (row R8), matching scored firms to never-scored firms of similar pre-coverage growth.

4.5 Benchmark regression and robustness checks

As a benchmark, we estimate on scored and never-scored firms the static two-way fixed effects (TWFE) regression analyzed by Goodman-Bacon (2021) and Baker et al. (2022):

$$Y_{i,t}=\alpha_i+\lambda_t+\beta D_{i,t}+\varepsilon_{i,t}, D_{i,t}=1\left[t\ge G_i\right] \tag{11}$$

where α_i and λ_t are firm and year effects, $D_{i,t}$ marks years from the first recorded score onward, and $\varepsilon_{i,t}$ is the error term. We include no covariates, use all event years, and cluster standard errors by firm. The coefficient β compares all post-coverage with all pre-coverage years, so it averages over any run-up; with staggered timing, it also uses already scored firms as controls for later cohorts.

The pre-analysis plan fixed rows R1 to R6 of Table 3: four robustness checks, a placebo, and the benchmark of Eq. (11). The checks add not-yet-scored firms to the controls (R1), drop the covariates (R2), exclude the 2020 and 2021 cohorts (R3), and keep only control firms whose base-year log total assets reach the 10th percentile among scored firms of the same cohort (R4). The placebo (R5) dates coverage three years early and uses only years before the actual score. Rows R7 to R11, the checks in Sections 5.4 to 5.7, and Tables S7 and S8 of the supplementary material are exploratory; Section 5 describes each check with its results.

Table 3. Robustness checks, timing of coverage, and heterogeneity by initial ESG score

Specification	ln(MTB)	ln(market cap)	Leverage (ratio)	ln(assets)	Scored / control firms
Baseline	0.002 (0.024)	−0.055* (0.030)	0.008* (0.005)	0.044** (0.018)	628 / 2,412
R1 Not-yet-scored in controls	−0.001 (0.024)	−0.053* (0.029)	0.009* (0.005)	0.040** (0.017)	628 / 3,023
R2 No covariates	0.025 (0.022)	0.016 (0.025)	0.012*** (0.004)	0.011 (0.015)	628 / 2,412
R3 No 2020–2021 cohorts	0.031 (0.027)	−0.029 (0.036)	0.004 (0.005)	0.020 (0.019)	413 / 2,407
R4 Size-trimmed controls	0.016 (0.025)	−0.007 (0.031)	0.009* (0.005)	0.101*** (0.017)	628 / 1,975
R5 Placebo, 3 years early	0.059*** (0.023)	0.134*** (0.028)	−0.002 (0.005)	0.115*** (0.015)	540 / 2,032
R6 Two-way fixed effects	0.064** (0.026)	0.185*** (0.032)	0.005 (0.005)	0.117*** (0.022)	3,226 (all)
R7 Pre-trend removed	−0.052 (0.034)	−0.134*** (0.042)	0.023*** (0.006)	0.011 (0.023)	628 / 2,412
R8 Pre-coverage growth	0.028 (0.025)	−0.034 (0.032)	0.008 (0.005)	0.043** (0.018)	567 / 2,156
R9 No Malaysia	−0.003 (0.035)	0.037 (0.038)	0.022*** (0.008)	0.046 (0.029)	256 / 1,926
R10 Dated 1 year later	−0.068*** (0.024)	−0.073** (0.030)	0.007 (0.005)	−0.006 (0.017)	646 / 2,412
R11 Cohorts to 2021	−0.008 (0.033)	−0.030 (0.037)	0.013* (0.007)	0.082*** (0.027)	273 / 2,032
High initial score	−0.019 (0.030)	−0.029 (0.034)	0.009 (0.006)	0.038* (0.022)	312
Low initial score	0.022 (0.033)	−0.081* (0.042)	0.007 (0.006)	0.049** (0.022)	316
High minus low	−0.041 (0.040)	0.052 (0.047)	0.002 (0.008)	−0.011 (0.025)	

Note: Outcome-regression changes over event years 0 to 3 (R5: 0 to 2; R6: Eq. 11, firm-clustered), firm-bootstrap standard errors; firm counts for ln(MTB). *, **, ***: 10%, 5%, 1%.

Source: Authors' calculations from LSEG ESG scores and Compustat Global.

5. Results

5.1 Which firms get scored

Table 1 compares scored firms in the base year with never-scored firm-years in the sample. Scored firms are larger: their median market capitalization is 203.2 million U.S. dollars against 42.2 million, and their median total assets are 4.3 times as large. Their MTB ratio is also higher, while leverage differs little. Because scored firms are concentrated in the base years 2019 to 2022, these level differences mix calendar effects with selection. In Malaysia, where the expansion was broadest, the median total assets of scored firms, each firm measured by its median over all sample years, were 3.3 times those of the 565 never-scored firms.

5.2 The valuation path before and after the first recorded score

Figure 1 plots the event-time estimates of Eq. (5) for all four outcomes. Before the first recorded score, the estimates for market capitalization and MTB are negative and rise toward zero; in event years −5 and −4, the MTB estimates are −0.095 and −0.082 ($p = 0.015$ and $p = 0.015$). From event year −5 to the base year, scored firms' market capitalization grew 14.1% more than that of never-scored firms, and their MTB ratio 10.0% more; we call this relative growth the run-up. The joint test of Eq. (8) rejects parallel pre-coverage trends for market capitalization ($p = 0.022$) but not at the 5% level for MTB ($p = 0.074$). The MTB non-rejection is not evidence of parallel trends: the individual estimates for event years −5 and −4 differ from zero, the market capitalization test rejects, and pre-trend tests have low power (Roth, 2022). We therefore read the pooled sample as failing the pre-trend diagnostic.

After the first recorded score, the MTB estimates for event years 0 to 3 lie between −0.044 and 0.017, and none differs from zero at the 5% level. Event year 4 rests on only 141 scored firms, so we plot it but exclude it from Eq. (6). The MTB gap between scored and never-scored firms thus widens before coverage and stops widening afterward. This description of the observed gap does not depend on assumption (2); reading the post-coverage part as an effect of coverage does. Because we cannot separate rising prices from new shares in market capitalization, we base statements about valuation on the MTB ratio.

Figure 2 separates the two largest coverage waves from the remaining cohorts; because we drew the wave boundaries after seeing the coverage counts, this split is exploratory. The 108 Thai and Singaporean firms first scored in 2019 and 2020 show the largest run-up: from event year −5 to the base year, their MTB ratio grew 33.1% more than that of never-scored firms (pre-trend $p = 0.006$). The 289 Malaysian firms first scored in 2021 and 2022 show no detectable run-up: 2.8% (95% interval −7.4% to 15.2%; pre-trend $p = 0.549$), so a run-up of the pooled size cannot be ruled out for this wave, and the 278 firms in the remaining cohorts fall in between. After the first recorded score, no wave shows a detectable MTB gain (Table S10), while market capitalization fell in the Malaysian wave (−0.146, $p = 0.005$), which accounts for the negative pooled market capitalization estimate.

5.3 Average change after entry under assumption (2)

Table 2 reports the headline estimates of Eq. (6). The change in log MTB is 0.002, with a 95% confidence interval of −0.046 to 0.048. Under assumption (2), the data are compatible with changes in the MTB ratio from −4.5% to 4.9%, so increases of a few percent remain possible; the MDE from Eq. (7) is about 7.0%. With the cluster bootstrap, the interval is −0.050 to 0.053.

After Holm adjustment, no secondary outcome changes significantly at the 5% level: log market capitalization changes by −0.055 (p = 0.134), leverage by 0.8 percentage points (p = 0.134), and log total assets by 0.044 (p = 0.053). Under assumption (2), the MTB estimate shows no sign of the gain that the recognition channel predicts (Merton, 1987).

Table 3 presents the robustness checks; rows R1 to R6 were pre-specified, and rows R7 to R11 are exploratory. Row R10 dates coverage one year after the first recorded score, the earliest year in which a score could have been public. Its MTB change is −0.068, about −6.6% (95% interval −0.116 to −0.020; p = 0.004), and its joint pre-trend test gives p = 0.072. We do not give the first-recorded-year estimate more weight because it was pre-specified: pre-specification guards against choosing a dating after seeing results, but it does not make the recorded year the date on which investors learned of coverage. The later dating is closer to that date on economic grounds, while the first recorded year is the date we observe; Section 5.4 shows what separates the two.

5.4 Reconciling the two datings

Table 4 moves from the first-recorded-year estimate to the one-year-later estimate one step at a time, so that each step changes one feature. Row 2 keeps only firms observed in both g − 1 and g, so that every later row draws on the same set of firms (a few drop out when the window or the size measure changes); this changes the MTB estimate by −0.005. Row 3 averages event years 1 to 4 instead of 0 to 3, with the same reference year g − 1; this changes it by −0.016 (p = 0.092). Row 4 moves the reference year from g − 1 to g, which is what dating coverage one year later does to the comparison; this changes the estimate by −0.044 (p = 0.024), 62% of the total gap of −0.070. Measuring size in g instead of g − 1 (row 5) and returning to all firms (row 6) change little. The steps are sequential, so the shares depend on their order; we take the window step before the reference step.

Table 4. Reconciling the first-recorded-year and one-year-later datings, step by step

Specification	ln(MTB)	ln(market cap)	Scored firms in averaged event years
(1) First recorded year g, reference g − 1, event years 0 to 3, all firms	0.002 (0.024)	−0.055* (0.030)	625
(2) As (1), firms observed in both g − 1 and g	−0.003 (0.024)	−0.055* (0.030)	615
(3) As (2), event years 1 to 4	−0.019 (0.030)	−0.053 (0.037)	585
(4) As (3), reference year g	−0.063*** (0.024)	−0.051* (0.029)	585
(5) As (4), size measured in g	−0.060** (0.024)	−0.063** (0.031)	583
(6) One year later, all firms (R10)	−0.068*** (0.024)	−0.073** (0.030)	613
(7) As (2), cohorts first recorded 2015 to 2020	0.017 (0.040)	0.076* (0.042)	142
(8) As (3), cohorts first recorded 2015 to 2020	−0.026 (0.047)	0.077 (0.050)	142
(9) As (4), cohorts first recorded 2015 to 2020	−0.124*** (0.038)	−0.006 (0.040)	142
(10) As (5), cohorts first recorded 2015 to 2020	−0.121*** (0.038)	−0.018 (0.042)	142

Note: Outcome-regression changes, firm-bootstrap standard errors in parentheses; each row changes one feature. *, **, ***: 10%, 5%, 1%.

Source: Authors' calculations from LSEG ESG scores and Compustat Global.

The reference year thus drives the difference. Dated one year later, every later valuation is compared with the first recorded year, the last year of the run-up. Moving the reference year from g − 1 to g subtracts from each later estimate the change in log MTB of the same scored firms, relative to the same never-scored firms, between g − 1 and g. The row 4 step is therefore this event-year-0 change, 0.044, averaged with the weights that the cohorts receive in event years 1 to 4; it is an accounting identity, not a separate estimate. A later dating thus starts from a higher point, and part of the decline it reports is the rise in the first recorded year itself. The cohorts observed through event year 4 (rows 7 to 10) show the same pattern more strongly. Composition matters as well: the timing difference is concentrated in the waves that had a run-up. Table S10 of the supplementary material shows that under the one-year-later dating the MTB change is −0.136 for the Thai and Singaporean wave and −0.111 for the remaining cohorts, but 0.012 for the Malaysian wave, whose estimate under the first recorded year is 0.021. Where no run-up was detected before entry, neither dating detects an MTB change (95% intervals −0.053 to 0.091 and −0.055 to 0.076).

Two readings fit this pattern, and the data cannot separate them. If firms were selected at an unusually high valuation that later partly reversed, the one-year-later estimate measures that reversal and could hide a gain from coverage; if valuations would otherwise have stayed at their peak, coverage lowered them. What the datings share is that neither shows a gain and that the

decline appears only where a run-up preceded entry. Dating coverage two years later gives −0.048 (95% interval −0.099 to 0.000), and Figure S2 plots the one-year-later path.

5.5 Sensitivity to departures from parallel trends

Row R11 keeps the 7 cohorts observed through event year 3 and gives −0.008 (p = 0.806), so changing cohort composition does not explain the headline estimate. Removing a linear pre-trend with Eq. (9) (row R7) gives −0.052, and matching on pre-coverage growth (row R8) gives 0.028; both intervals include zero, and Appendix A.11 of the supplementary material discusses them.

Table S5 reports the bounds of Eq. (10). With $\bar{M} = 0.25$, the interval for the MTB effect is −0.071 to 0.073, and any departure at all admits a positive effect. Under the one-year-later dating, the decline loses significance with $\bar{M} = 0.25$, when its interval runs from −0.138 to 0.002. Modest departures from parallel trends, smaller than those observed before coverage, are therefore enough to change the reading of either dating.

5.6 Firm size and common support

Scored firms are much larger than most controls, so the outcome regression extrapolates for the largest firms. Table 5 varies the size adjustment and the support. Across functional forms (none, linear, quadratic, cubic, quintile indicators, or size measured at g − 3), the MTB estimate stays between −0.010 and 0.025. Restricting scored firms to the size range of the controls changes the estimand to the effect on scored firms that have comparable controls. Keeping scored firms no larger than the 95th percentile of controls in their cell retains 487 scored firms and gives −0.021 (p = 0.426); the 90th and 99th percentile cut-offs give −0.013 and −0.006. Within this support the doubly robust estimator of Sant'Anna and Zhao (2020) gives −0.010 (p = 0.715), and only 1.1% of scored firm-cells have an estimated propensity score above 0.95. The MTB result therefore does not depend on extrapolating the size adjustment to the largest firms.

Table 5. Size adjustment and common support

Specification	ln(MTB)	ln(market cap)	Scored firms in averaged event years
Baseline: quadratic in log total assets at g − 1	0.002 (0.024)	−0.055* (0.030)	625
No covariates	0.025 (0.022)	0.016 (0.025)	625
Linear in log total assets	−0.003 (0.023)	−0.033 (0.029)	625
Cubic in log total assets	−0.009 (0.024)	−0.055* (0.030)	625
Size quintile indicators	−0.010 (0.023)	−0.053* (0.029)	625
Quadratic, total assets at g − 3	−0.008 (0.025)	−0.059* (0.032)	592
Scored firms ≤ 99th percentile of controls	−0.006 (0.024)	−0.061** (0.031)	586
Scored firms ≤ 95th percentile of controls	−0.021 (0.026)	−0.096*** (0.035)	487
Scored firms ≤ 90th percentile of controls	−0.013 (0.028)	−0.093** (0.039)	420
Doubly robust, ≤ 95th percentile	−0.010 (0.027)	−0.064* (0.034)	487
Doubly robust, ≤ 90th percentile	0.005 (0.029)	−0.061 (0.038)	420

Note: Outcome regression unless labeled doubly robust, firm-bootstrap standard errors in parentheses; *, **, ***: 10%, 5%, 1%. Percentile rows cap scored firms' base-year assets at that control percentile.

Source: Authors' calculations from LSEG ESG scores and Compustat Global.

Market capitalization is more sensitive. Its estimate is 0.016 without covariates, between −0.059 and −0.033 across the functional forms that adjust for size, and between −0.096 and −0.061 on the restricted supports, so the negative market capitalization change depends on how size is modeled. This is expected, because size enters both the selection into coverage and market capitalization itself. Table 6 describes the scored firms that the 95th percentile restriction keeps and drops. The 138 excluded firms are large (median total assets of 2,351.7 million U.S. dollars against 170.9 million) and more often Singaporean (29.0% against 1.2%), Indonesian (18.1% against 2.9%), or Thai (29.0% against 24.0%). Because the restriction uses the controls' percentile within each cell, it drops fewer firms than the pooled comparison in Section 4.2 suggests. The retained firms are mostly Malaysian (71.5%). The restricted estimate thus describes mid-sized scored firms, largely from the Malaysian expansion, and says little about the largest firms in each market.

Table 6. Scored firms retained and excluded by the 95th percentile size restriction

Characteristic	Retained	Excluded	Never-scored (all years)
Firms	487	138	2,613
Median total assets (USD million)	170.9	2,351.7	68.7
Median market capitalization (USD million)	129.5	1,478.0	42.2
Median market-to-book ratio	1.34	1.14	0.95
Mean book leverage	0.202	0.330	0.241
Mean initial ESG score	33.4	41.7	
Share Malaysian	0.71	0.15	
Share Thai	0.24	0.29	
Share Indonesian	0.03	0.18	
Share Singaporean	0.01	0.29	
Share Philippine	0.00	0.09	
Share first recorded by 2020	0.12	0.59	

Note: Scored firms in the ln(MTB) estimate, measured in the base year g − 1; never-scored firms are summarized over all firm-years. Shares are fractions of firms.
Source: Authors' calculations from LSEG ESG scores and Compustat Global.

5.7 Missing valuation data and recording errors

Missing MTB ratios are not random. Table S11 of the supplementary material compares firm-years with and without an MTB ratio. Firm-years without one are more often highly levered (book leverage above 0.5 in 25.4% of never-scored firm-years without an MTB ratio, against 8.4% with one) and more often Indonesian (38.9% against 24.1%), consistent with financial distress and with gaps in market data. Only 21.5% of never-scored and 24.8% of scored firm-years without an MTB ratio have a market capitalization, so most gaps are missing market data, not negative book equity alone. Among scored firms, the 50 firms that do not enter the MTB estimate have median base-year total assets similar to those that do (280.3 against 294.3 million U.S. dollars).

Table 7 checks whether these gaps and the recording errors of Section 3.4 change the estimates. Estimating log market capitalization only on firm-years that also have an MTB ratio moves its change from −0.055 to −0.023, so part of the negative market capitalization estimate comes from firm-years that drop out of the MTB sample. Keeping only firms with a complete MTB series gives 0.008 for MTB, and keeping only scored firms with complete series gives 0.006. Removing the flagged firm-years gives −0.007 for MTB and −0.045 for market capitalization; removing every firm with a flagged year, or using a looser flag at twice total

assets, or winsorizing within each market and year instead of the pooled sample gives MTB estimates between −0.019 and 0.005. None of these checks produces an MTB gain.

Table 7. Missing valuation data and recording errors

Specification	ln(MTB)	ln(market cap)	Scored firms in averaged event years
Baseline	0.002 (0.024)	−0.055* (0.030)	625
Market capitalization on firm-years with an MTB ratio		−0.023 (0.029)	624
Complete MTB series, scored and control firms	0.008 (0.025)		598
Complete MTB series, scored firms only	0.006 (0.024)		598
Flagged firm-years removed	−0.007 (0.024)	−0.045 (0.029)	615
Firms with any flagged year removed	−0.008 (0.024)	−0.045 (0.029)	613
Firm-years with implied book equity above twice total assets removed	−0.019 (0.023)	−0.039 (0.028)	597
Winsorized within market and year	0.005 (0.024)	−0.064** (0.031)	625

Note: Outcome-regression changes, firm-bootstrap standard errors in parentheses; flags mark implied book equity above ten times assets (Section 3.4). *, **, ***: 10%, 5%, 1%.

Source: Authors' calculations from LSEG ESG scores and Compustat Global.

5.8 Other robustness checks

None of the pre-specified rows R1 to R4 shows an MTB effect that differs from zero at the 10% level (estimates from −0.001 to 0.031; Appendix A.11 of the supplementary material). The market capitalization and total assets results are less stable, so we do not read the total assets estimate in Table 2 as evidence that coverage causes growth. Excluding one market at a time (row R9 and Table S1) gives MTB effects from −0.007 to 0.017.

The placebo in row R5, which dates coverage three years before the first recorded score within pre-score years, yields 0.059 on log MTB (p = 0.010). This failure restates the pre-coverage growth in Figure 1 and shows how hard it is to construct a counterfactual path for firms that were growing toward the provider's universe. The static TWFE regression in Eq. (11) in row R6 attributes an increase of 0.064 in log MTB (p = 0.014) to coverage. Table S8 shows that comparing each cohort with its own base year accounts for about half of the gap to the headline estimate and conditioning on base-year size for most of the rest.

5.9 Does the initial score matter?

The last three rows of Table 3 divide scored firms at the cohort median of their first ESG score. The difference between high- and low-score entrants is −0.041 (standard error 0.040, p =

0.307). Because the score rises with firm size (correlation 0.35 with base-year log total assets), Table S7 repeats the split after purging the score of size, country, and cohort; the difference is then −0.027 (p = 0.491). Neither split shows the sign pattern that the preference channel predicts, but the test is weak: with minimum detectable differences of 0.113 and 0.111, about 11.9% in the MTB ratio, neither can detect a moderate difference, and the residual split removes only part of the link between the score and firm characteristics. The insignificant difference therefore does not show that ESG preferences are unimportant; our sample cannot detect them if they are moderate.

5.10 What the pooled estimate represents, and its magnitude

The pooled estimate is a weighted average over cohorts and event years, with weights equal to the number of scored firms in each cell (Eq. 6). Table S9 of the supplementary material shows that Malaysian firms carry 55.2% of the weight in the headline MTB estimate and Thai firms 26.7%, so the two markets account for 81.9%; Indonesia, the Philippines, and Singapore together carry the rest. The Malaysian wave of 2021 and 2022 alone carries 44.1%, and firm-years from 2021 to 2024 carry 87.2%. The pooled estimate therefore describes mainly the Malaysian expansion and the Thai cohorts in the years after the COVID-19 pandemic. It is not an average effect for the five markets, and the country estimates in Table S3 for Indonesia, the Philippines, and Singapore rest on too few scored firms to support conclusions for those markets.

Under assumption (2), the largest increase compatible with the headline interval is of the same order as the announcement return of 4.86% that Demiroglu and Ryngaert (2010) report for the first analyst coverage of neglected stocks. Because annual ratios miss short-lived price pressure, our estimates concern lasting revaluation (Chen et al., 2004; Merton, 1987), and a lasting effect half as large as the MTB run-up would lie at the upper end of the interval.

6. Discussion

6.1 What the ordering of events shows

The clearest result is an ordering of events: firms entered the scored universe after their MTB ratio and market capitalization had grown faster than those of never-scored firms, and their MTB ratio stopped gaining afterward. The provider may have added firms once they were large and visible enough to matter to its clients (Section 2.3), or firms may have become scoreable by

publishing a first sustainability report, joining an index, or issuing equity, which can coincide with rising value; the fall in leverage toward the base year fits equity issuance. Either way, entry marks the end of a period of relative growth, not a random draw. This finding does not rest on assumption (2) or on the dating of publication, because the growth happened before the first recorded score.

6.2 What the evidence says about a valuation effect of coverage

The flat post-coverage MTB path admits three readings, depending on the counterfactual trend (Rambachan & Roth, 2023; Roth, 2022). With parallel paths from the base year, the data show no detected effect of coverage. With a continued run-up, coverage lowered valuations relative to the trend. With a partly transitory run-up, the flat path is consistent with a positive coverage effect that offset a reversal. The comparison of datings in Section 5.4 fits a reversal, but a negative effect of coverage confined to the waves with a run-up would look the same. With annual data, a provider that chooses whom to score, and recorded scores that may precede publication, a valuation effect of coverage cannot be reliably identified without additional assumptions; under the assumptions we can state, none of the main specifications detects a gain, and the bounds do not exclude one. One of many exploratory subgroups, the 58 firms first scored by 2019, shows 0.094 ($p = 0.047$), which we do not read as evidence of a gain because it is not adjusted for multiple comparisons.

6.3 Mechanisms that the data can and cannot evaluate

The recognition and preference channels motivate the hypotheses, but the evidence speaks to them only indirectly. Recognition predicts a lasting gain for every newly scored firm; we detect none under assumption (2), but without ownership, trading, or fund-holding data we cannot tell whether recognition did not increase or whether it increased without moving prices. Investor participation is a natural place to look, since investor groups in the region respond differently to trading conditions (Sudsawasd & Sakdapat, 2026). Preferences predict opposite signs for high- and low-score entrants; the split in Section 5.9 cannot detect a moderate difference. What the data evaluate directly is selection into coverage and the valuation path that follows it.

The absence of a detected gain fits the evidence on certification by sustainability indices, where additions have little price effect relative to comparable firms (Durand et al., 2019; Hawn et al., 2018), and contrasts with the price effects of MSCI downgrades (Berg, Heeb, et al., 2022). Two features of our setting may explain the contrast: ESG fund holdings respond to MSCI ratings, not to those of other providers (Berg, Heeb, et al., 2022), and scored firms were large and visible before coverage (Table 1), which leaves less room for recognition (Merton, 1987). Studies, mostly of U.S. firms, find that coverage changes firm conduct and payout (Bikmetova & Pirinsky, 2026; Tsang et al., 2024, 2025); we find no stable change in leverage or total assets.

The run-up also fits evidence that realized green returns reflect unexpected shifts in ESG demand (Pástor et al., 2022): a one-time demand shift, or selection after one, would produce a run-up followed by a flat path. Without ownership data, we cannot tell whether ESG investors bought these firms before or after coverage.

6.4 Implications

These implications are bounded by the design: one provider, annual data, five markets, and no data on ownership, returns, or publication dates. For researchers, comparisons of scored and unscored firms, static TWFE estimates, and backtests built on the first recorded score can attribute selection to the score (Table S8; Berg et al., 2020; Sahin et al., 2023). Studies of ESG ratings in Southeast Asia should model when firms enter coverage, report pre-entry dynamics, and record the download date of their rating data.

For rating providers and data users, the scored universe in these markets tilts toward large firms and toward firms that had outgrown their peers, most clearly in the Thai and Singaporean wave. Publishing the date on which each firm's coverage began, and keeping the vintages of revised scores, would separate what was known from what was filled in later.

For exchanges, regulators, and listed firms, broad expansions such as the Malaysian wave appear to select less on prior growth, and we detect no MTB gain within it. Our results do not show that expanding ESG coverage has no valuation benefit; they show that such a benefit cannot be established from these data, so arguments for expanding coverage should rest on grounds other than an expected rise in issuer valuations. Under assumption (2), the interval excludes increases above 4.9%, but smaller effects remain possible.

7. Limitations

The study has seven limitations. First, the provider chooses when to cover a firm, and the post-coverage estimates rest on conditional parallel trends that the pre-coverage estimates question; our sensitivity analysis uses a linear trend and a simplified bound, not the confidence sets of Rambachan and Roth (2023). Second, we observe neither publication dates nor announcement returns, and the unrecorded download date leaves the vintage of revisable recent scores uncertain. Third, we observe only LSEG coverage, so for firms with earlier FTSE Russell or other scores the event is an additional score. Fourth, the data contain no returns, shares outstanding, ownership, index membership, or firm-level report dates. Fifth, MTB ratios are missing for about a quarter of firm-years, more often for distressed and Indonesian firms, and some market capitalization records contain scale errors. Sixth, Malaysian and Thai firms make up 84.3% of scored firms. Seventh, with an MDE of 0.067 on log MTB, smaller effects would be detected with less than 80% probability.

8. Conclusion

Entry into LSEG ESG coverage in five Southeast Asian markets was selective. The firms that received a first recorded score were larger than never-scored firms, and on average their market-to-book ratio had grown 10.0% faster than that of similar firms over the five years before entry. The run-up was concentrated in the Thai and Singaporean wave of 2019 and 2020 and was not detected in the broad Malaysian wave of 2021 and 2022 (95% interval −7.4% to 15.2%). After entry, the valuation gap stopped widening. Whether coverage itself changed valuations cannot be settled with these data: the answer moves from no detected change (95% interval −0.046 to 0.048 in log MTB) to a decline of 6.6% depending on when investors are assumed to have seen the score, the decline appears only where valuations had run up, and modest departures from parallel trends change either reading.

A rated firm is not a random firm, and research and investment screens that start from a provider's universe inherit the provider's selection. Two kinds of data would move the question forward: point-in-time records of when each firm's score was first published, which would date the event as investors saw it, and ownership and trading data, which would show whether new

coverage brings new investors. With both, future work could test whether ESG coverage in Southeast Asian markets changes who holds a firm and at what price.

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